

Northvale Grounds Management LLC

Expense Reimbursement and Vendor Engagement Policy - 2025

1. Purpose and Scope

This policy governs the reimbursement of business expenses incurred by employees and the engagement of outside vendors by Northvale Grounds Management LLC. It applies to all employees, officers, and contract personnel of the company, effective January 1, 2025.

Expenses that fall outside this policy require written approval from the Controller before they are incurred. Retroactive approval is granted only in documented emergencies.

2. Mileage and Travel

Personal vehicle use for company business is reimbursed at fifty-eight cents per mile for the 2025 calendar year. Mileage logs must record the date, origin, destination, business purpose, and odometer readings. Commuting between an employee's residence and their primary work location is not reimbursable.

Air travel must be booked in economy class unless the scheduled flight time exceeds six hours, in which case premium economy is permitted with prior approval. Rental vehicles are limited to mid-size class or below.

The standard per diem for meals and incidental expenses is sixty-eight dollars per full day of travel within the continental United States. Partial travel days are reimbursed at seventy-five percent of the full per diem rate. Receipts are not required for per diem, but a travel itinerary must be attached to the expense report.

3. Receipts and Documentation

An itemized receipt is required for any single expense of seventy-five dollars or more. Credit card statements alone are not acceptable documentation because they do not show the items purchased.

Expense reports must be submitted within thirty days of the expense being incurred. Reports submitted more than sixty days after the expense date will not be reimbursed except with Controller approval.

4. Approval Thresholds

Expenditures up to one thousand dollars may be approved by a department supervisor. Expenditures between one thousand and ten thousand dollars require the approval of the Controller. Any commitment exceeding ten thousand dollars requires written approval from the Managing Member before the obligation is entered into.

Splitting a single purchase into multiple smaller transactions in order to remain below an approval threshold is prohibited and is treated as a disciplinary matter.

5. Vendor Engagement and Form 1099

Before any payment is issued, a new vendor must provide a completed Form W-9. The accounting department will not release payment to a vendor without a W-9 on file. Vendors organized as corporations are generally exempt from Form 1099-NEC reporting, with the notable exception of payments made to attorneys, which are reportable regardless of the law firm's entity type.

The company issues Form 1099-NEC to each eligible non-corporate vendor that receives six hundred dollars or more in aggregate payments during the calendar year. Aggregation is performed across all accounts and all payment methods. Payments made by credit card or through a third-party settlement network are excluded, as those are reported by the processor on Form 1099-K.

Vendor records are reviewed each January. Any vendor missing a taxpayer identification number at that time is subject to backup withholding at twenty-four percent until the documentation is received.

6. Prohibited Expenses

The following are not reimbursable under any circumstance: personal entertainment, traffic and parking fines, personal grooming, in-flight purchases unrelated to business, and alcohol purchased outside of a documented client entertainment event.

Client entertainment involving alcohol requires the attendance of at least one company officer and must list all attendees and the business purpose on the expense report.

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